

Wolfgang Reim & Ors vs State & Anr on 2 July, 2012

Author: V.K. Shali

Bench: V.K. Shali

* IN THE HIGH COURT OF DELHI AT NEW DELHI

+ CRIMINAL M.C. NO.1942 OF 2004

Decided on : 2nd July, 2012

WOLFGANG REIM & ORS. Petitioners
Through: Mr. S.S. Gandhi, Sr. Advocate with
Mr. Abhinav Verma, Advocate.

Versus

STATE & ANR. Respondents
Through: Mr. Satish Aggarwal, Advocate for
respondent No.2.

AND

+ CRIMINAL M.C. NO.2005 OF 2004

ANANT SHRIDHAR BHATT Petitioner
Through: Mr. S.S. Gandhi, Sr. Advocate with
Mr. Abhinav Verma, Advocate.

Versus

STATE & ANR. Respondents
Through: Mr. Satish Aggarwal, Advocate for
respondent No.2.

CORAM:
HON'BLE MR. JUSTICE V.K. SHALI

V.K. SHALI, J.

1. This order shall dispose of aforementioned two petitions which are arising from the same matter except that so far as the first petition being Criminal M.C. No.1942 of 2004 is concerned, it is filed by five petitioners while as the second petition being Criminal M.C. No.2005 of 2004 is filed by the sixth accused person in the same FIR in question. The prayer in the first petition is for quashing of the Complaint Case No.507/2001 and the impugned order dated 9.6.2004 passed by the learned Metropolitan Magistrate, New Delhi under Sections 156 (3) Cr.P.C. on the basis of which FIR No.411/2004 dated 24.6.2004, under Sections 381/403/406/408/417/420/427/500 IPC read with Section 120-B IPC was registered at Police Station Badarpur and the consequent proceedings are being taken in pursuance to the same. It may be pertinent here to mention that presently the

investigations of the aforesaid FIR are stayed in terms of the order dated 12.2.2004.

2. Briefly stated, the facts of the case are that the respondent No.2 filed a complaint under Sections 381/403/406/408/417/420/427/500 IPC read with Section 120-B IPC before the learned ACMM, Delhi, against the petitioners in both the petitions. Along with the said complaint, an application under Section 156 (3) Cr.P.C. was also filed. It was alleged in the complaint that the complainant, M/s. Usha Drager Pvt. Ltd. was a private limited company, having its registered office at B-II/94, Mohan Co- operative Industrial Estate, Badarpur, New Delhi. It is a Joint Venture Company between Draegerwerk Aktiengesellschaft of Germany and Usha Group of India. It was alleged that the Joint Venture Company is incorporated pursuant to a Joint Venture Agreement dated 9.5.1987 and a foreign collaboration agreement dated 20.2.1990. The newly incorporated company was to engage itself in the business activities of manufacturing and sale of medical equipments and appliances for machines, by developing their own design, drawing, catalogues and brochures as well as to import the machine from Draeger Company, Germany. It is alleged that the company had made a data bank of customers for installations throughout the country in terms of the prospective clients. This entire information was confidential in nature and was in the form of soft and hard copies with the company. It is alleged that the complainant company soon built an enviable reputation and image throughout the country in the field of medical products. It is alleged that the German Directors, namely, Wolfgang Reim, Rainhard Frick, Jens Altmann, Alain Rastouil and Claus Grabowsky, in pursuance to a criminal conspiracy and in a planned way pilfered the abovementioned confidential information with the help of ex-employees. The names of these employees of the Joint Venture Company were A.S. Bhat, CEO, Dinesh Singh, Product Manager, Neelesh Thakur, Sanjay Sinha, P.B.C. Paul and Ravi Sharma, Assistant Manager, Marketing.

3. The learned ACMM on the basis of an application under Section 156 (3) Cr.P.C. directed registration of an FIR by observing that this is a matter which cannot be investigated or where evidence cannot be produced by the complainant himself. Therefore, he gave a direction to the SHO, Police Station Badarpur to register an FIR. As a consequence of this direction, FIR No.411/2004 under various sections, detailed above, was registered on 24.6.2004. It is this FIR and the consequent investigations which have been assailed by the petitioners in two separate petitions and they have prayed for quashing of the complaint as well as the impugned order directing registration of the aforesaid FIR.

4. The main thrust of the petitioners, who are the respondent/accused in the complaint, has been, firstly, that the complaint in question is liable to be quashed on the ground that essentially there is a dispute between the parties which is of civil nature and which is sought to be given a criminal colour, only with a view to bring to bear pressure on the petitioners. Extending the said submission further, it is alleged that the complaint is not only actuated with mala fides but is also based on concealment of material facts. Secondly, it is contended that even if it is assumed that the averments made in the complaint and the consequent registration of the FIR, which has been registered under various sections, is assumed to be correct, even then no offence under various sections, as detailed above, is made out against the petitioners.

5. The petitioners have stated that in the year 1987, a 50- 50 Joint Venture Agreement was executed between one Draegerwerk Aktiengesellschaft (hereinafter referred in short as „Drager AG) and M/s. Usha Services & Consultants (P) Ltd. (hereinafter referred in short as „USCL) and a new company by the name of M/s. Usha Draeger Pvt. Ltd. (hereinafter referred as prayer „AG) was incorporated. The material terms and conditions of the Joint Venture Agreement, which will have bearing on the present petitions, are as under :-

"Clause 7 (A) of the said Joint Venture Agreement Drager AG was to make available its know-how to the complainant company.

Clause 7 (B) of the Joint Venture Agreement the first batch of the products manufactured by the complainant company under the Drager know-how are to be reviewed by Drager.

Clause 7 (C) of the Joint Venture Agreement the complainant company was liable to bear the expenses for translation of drawings, manufacturing instructions or other information, not available in English at Drager.

Clause 8 of the said Joint Venture Agreement Drager-patents were to be used for the manufacture and sale in India of the products manufactured by the complainant company.

Clause 9 (A) of the Joint Venture Agreement, Drager would be liable to assist the complainant company in procuring special machinery and tools for the manufacture of the products. Further Clause 8 (B) laid down that Drager would be supplying components to the complainant company for the products for manufacture by the complainant company."

6. On 5.10.1998, the Joint Venture Company, M/s. Usha Draeger Pvt. Ltd. was incorporated with the objective of carrying out development, manufacture and sale in India, the products and equipments manufactured by Draeger AG company. The first dispute between the two groups, namely, Usha Group and the Draeger Group of the company allegedly started on 26.9.2003 when in a Board meeting of the company, the removal of the Company Secretary of the Joint Venture Company was discussed. The decision of the meeting was not given effect to as the nominees of the Draeger Group objected to such removal of the Company Secretary. It is alleged that the Minutes of the meeting were not correctly recorded at the instance of Usha Group of company nominees. On 19.12.2003, the Draeger Group nominees are purported to have sent an e-mail objecting to the recordings of the Minutes of the meetings, however, no recourse had been taken in this regard.

7. On 22.12.2003, the Indian Directors belonging to Usha Group are alleged to have taken over the entire management of the company and passed a resolution pertaining to the suspension of petitioner No.5 as the CEO of the company and appointed A.S. Rajput, respondent No.2, as the new CEO of the company. It is alleged that this was in breach of an Article 143 of the Articles of the company, which clearly laid down that any affirmative vote of at least one Director of Draeger Group

was essential for passing a resolution pertaining to the appointment and vesting of powers of Managing Director, Directors or alteration in the Board. Further A.S. Rajput was authorized to file a complaint against some of the officers of the Joint Venture Company for any serious charges.

8. On 29.1.2004, the Usha Group of companies is alleged to have filed the first criminal complaint bearing CC No.144/2001 against Claus Grabowsky, respondent No.5, and Rakhee Garg, the Company Secretary of the Usha Group of companies, under Sections 403/408/34 IPC. The said complaint was allegedly disposed of by the learned Metropolitan Magistrate, Delhi, who passed an order dismissing the application under Section 156 (3) Cr.P.C. observing that it will not be necessary to send the case for investigation by the police. A revision petition was filed against the said order of the learned Metropolitan Magistrate, Delhi, to bring on record the application filed under Section 156 (3) Cr.P.C., which was also dismissed.

9. In the meantime, the Draeger Group filed a civil suit bearing C.S. (OS) No.118/2004 before the High Court of Delhi seeking declaration that the board resolutions dated 26.9.2003 and 22.12.2003 are null and void. On the said suit, a notice was issued by the High Court and the defendants were restrained from taking any decision in regard to the management and functioning of the company.

10. It is alleged that after the dismissal of the first complaint under Section 156 (3) Cr.P.C. by the learned Metropolitan Magistrate on 9.6.2004, the Usha Group filed second complaint bearing CC No.507/2001 against the present petitioners under Sections 381/403/406/408/417/419/420/427/500 read with Section 120-B IPC with the intention of getting the petitioners arrested under the alleged conspiracy held on 4.6.2009. The petitioners were supposed to be present in India during that time. In the said criminal complaint, on 9.6.2004, the learned Metropolitan Magistrate is purported to have issued a direction to the police under Section 156 (3) Cr.P.C. on the basis of which the aforesaid FIR bearing No.411/2004 was registered on 24.6.2004 by Police Station Badarpur. It has been alleged that the entire exercise has been carried out by the Usha Group and its officers in a mala fide manner, not only for postponing the schedule of the Board meeting, which was likely to be held from 4.6.2004 to 29.6.2004, but also with a view to seek arrest of the petitioners.

11. On 17.8.2004, the High Court of Delhi in C.S. (OS) No.118/2004, appointed Mr. Justice A.B. Saharya, a retired Judge of this Court and former Chief Justice of Punjab and Haryana High Court, as the Chairman to preside over the meeting of the Board of Directors to decide upon the issues raised in the suit Nos.117, 118/2004 and 239/2004, which were pending at that point of time between the parties holding two groups. On 8.12.2004, the counsel for the complainant wrote a letter to the learned senior counsel appearing for the accused persons intimating that they were ready to withdraw the complaint No.507/2001, which was initiated at their instance. In this regard, on 8.12.2004, the High Court is purported to have passed a direction in the present petition directing that the complainant shall also submit an affidavit in response to the averments of the petitioners that the complainant has intimated Justice A.B. Saharya, the Chairman of the Board of Directors appointed by this court, his intention to withdraw the criminal proceedings.

12. On the basis of these facts, the petitioners have prayed for quashing of the complaint as has been mentioned hereinabove on three broad grounds.

13. I have heard Mr. S.S. Gandhi, the learned senior counsel for the petitioners and Mr. Satish Aggarwal, the learned counsel on behalf of respondent No.2/complainant. The area of controversy between the parties is very narrow one. The main controversy which arises for adjudication in the instant case is as to whether the nature of dispute, which was existing at a given point of time between the parties, was a criminal offence or essentially a civil dispute? If it was a civil dispute between the parties, then the complaint which has been registered by way of an FIR deserves to be quashed. If not, then the criminal complaint must continue against the present petitioners and culminate into an appropriate finding.

14. The second point which needs to be considered is as to whether the action by the respondent No.2 has been initiated against the petitioners with a mala fide intention. In this regard, though the allegation is made that the action was initiated with a mala fide intention but the question to be seen by this court is as to whether not only averments are made by the petitioners in the petition that there are mala fides on the part of the complainant but they must prima facie bring on record the evidence which establishes that fact.

15. The third point which will arise for consideration is as to whether, even if the averments made in the complaint and the consequent FIR, which is registered against the petitioners, are assumed to be correct, whether the individual offences, as enumerated in the Indian Penal Code, are prima facie made out or not?

16. There are catena of judgments by now which lay down that a civil dispute cannot be converted into criminal dispute with a view to bring pressure on the respondent/accused persons. It will be worthwhile to refer to some of the reported judgments of the Apex Court dealing with the subject of the criminal proceedings having been quashed on the ground that the dispute between the parties was essentially civil in nature.

17. In a case titled M/s. Indian Oil Corporation vs. NEPC India Ltd. & Ors.; AIR 2006 SC 2780, the respondent/NEPC, owner, had hypothecated its two aircrafts with all parts and accessories to IOC, appellant, creditor by way of charge and as security for payment of the amounts due regarding supply of fuel. The respondent committed default. Apprehending that respondent, NEPC may remove the hypothecated aircraft from Airport to a place outside its reach, the appellant, IOC, obtained injunction restraining NEPC India from removing the aircraft from the Airport. Subsequently, IOC filed two complaints against the respondent, NEPC India and two of its Directors under Sections 405, 415 and 425 IPC, alleging unauthorized removal of the engines and certain other parts from the two hypothecated aircrafts. The possession of the aircrafts all along remained with the respondent, NEPC India in its capacity as the owner though the Hypothecation Deed was with the petitioner.

18. It was in this background that the proceedings against the NEPC were quashed by the High Court holding that this was essentially a civil dispute between the parties. It could not be converted

into a criminal dispute. The observations of the Apex Court were as under :-

"A growing tendency in business circles to convert purely civil disputes into criminal cases is obviously on account of a prevalent impression that civil law remedies are time consuming and do not adequately protect the interests of lenders/creditors. Such a tendency is seen in several family disputes also, leading to irretrievable break down of marriages/families. There is also an impression that if a person could somehow be entangled in a criminal prosecution, there is a likelihood of imminent settlement. Any effort to settle civil disputes and claims, which do not involve any criminal offence, by applying pressure through criminal prosecution should be deprecated and discouraged.

While no one with a legitimate cause or grievance should be prevented from seeking remedies available in criminal law, a complainant who initiates or persists with a prosecution, being fully aware that the criminal proceedings are unwarranted and his remedy lies only in civil law, should himself be made accountable, at the end of such misconceived criminal proceedings, in accordance with law. One positive step that can be taken by the Courts, to curb unnecessary prosecutions and harassment of innocent parties, is to exercise their power under Section 250 Cr.P.C. more frequently, where they discern malice or frivolousness or ulterior motives on the part of the complainant."

19. In the case of V.Y. Jose & Anr. Vs. State of Gujarat & Anr.; (2009) 3 SCC 78, there was a dispute between the appellants and the respondent No.2 regarding supply of a machine which would serve a specific purpose of purifying and desalting the dyes to a particular level as indicated by respondent No.2. Price of the machine was settled at Rs.17 lakhs plus, out of which advance payment of Rs.3 lakhs was also made. The machine, when ready, was inspected by respondent No.2 but it was found that it did not achieve the specified level of purifying and desalting the dyes. The respondent No.2 filed a criminal complaint against the appellants. The criminal court took cognizance of the offences under Sections 417, 420 read with Section 114 of the Penal Code, 1860. The appellants filed the petition before the High Court under Section 482 Cr.P.C. that no criminal offence was made out and the High Court dismissed the petition, which was allowed by the Supreme Court on the ground that the dispute between the parties was essentially, at best, breach of contract which was a civil dispute and they could not have been proceeded criminally. The observations of the Apex Court were as under :-

"Only because civil law can be taken recourse to would not necessarily mean that criminal proceedings should be barred. However, there exists a distinction between pure contractual dispute of a civil nature and an offence of cheating. Although breach of contract per se would not come in the way of initiation of a criminal proceeding, yet in the absence of the averments made in the complaint petition wherefrom the ingredients of an offence can be found out, the court should not hesitate to exercise its jurisdiction under Section 482 Cr.P.C. Section 482 serves a salutary purpose that a person should not undergo harassment of litigation for a number of years although

no case has been made out against him. A matter which essentially involves dispute of a civil nature should not be allowed to be the subject-matter of a criminal offence, the latter being a short cut of executing a decree which is non-existent. The superior courts, with a view to maintain purity in the administration of justice, should not allow abuse of the process of court. They have a duty in terms of Section 483 to supervise functioning of trial courts."

20. Two more authorities which may be of relevance in the facts of the present case are *Ira Juneja & Anr. vs. State and Anr.*; 2004 CrL. L.J. 3664 and *Velji Raghavji Patel vs. State*; AIR 1965 SC 1433. Both these authorities have been referred to on account of the fact that the petitioners have been summoned for offence of breach of trust, cheating, etc. For offence of breach of trust, there must be dominion over the property handed over to the accused persons by the respondent/complainant by way of entrustment. In the first case, it has been held that in a case of partnership firm where there is no specific terms and conditions settled in the partnership deed itself with regard to the dominion over the property of the partnership, a case under Section 415/420 IPC for cheating or Section 403/405 IPC for criminal breach of trust will not be made out. The second case is also on the same lines, though in different language, it lays down that for proving the criminal breach of trust, not only the dominion over the property is to be established but entrustment must also be proved. Correspondingly, one of the main ingredients in an offence of cheating is that there must be dishonest intention at the time of the commission of the offence. If there was no dishonest intention on the part of any of the party at the time when the transaction was entered into and merely because subsequently the transaction has fallen through, as there is a breach of contract, that will not result in commission of an offence of cheating.

21. Both these authorities have been referred to on account of the fact that in the instant case, the entire thrust of the respondent No.2/complainant's case in the FIR is with the petitioners who were the foreign directors or the employees of the Joint Venture Company have committed the offence of breach of trust, cheating and a conspiracy in this regard by stealing designs, software and data of the Joint Venture Company. Once the petitioners were established to be the directors and the employees of the company obviously, they were to handle the said products and it could not be said that they only enjoy dominion over the property or that there was entrustment. By virtue of their proximity or holding of a particular position in the Joint Venture Company, they have the access to the same. Therefore, these ingredients which are essentially to be established in the case of criminal offence *prima facie* are not satisfied. In addition to this, the entire dispute between the parties also establishes that essentially this was at best a Joint Venture Agreement which failed to take off on account of various acts of omission or commission or differences attributable to the petitioners or to the parties. Even if it is assumed to be so, at best, it resulted in breach of contract or breach of agreement between the parties for which the criminal offence ought not to have been registered. More so, when one of the parties have already gone to the civil court, this clearly shows that the registration of the criminal offence against the petitioners was only with a view to bring to bear pressure on them to settle the matter according to their dictates. This is all the more *prima facie* established on account of the fact that the respondent No.2/complainant had filed this complaint on the basis of which FIR has been registered for the second time when the first attempt by them to get the FIR registered had failed and this fact was also not disclosed. Therefore, all these facts not only

show that the petitioners have converted a civil dispute into a criminal dispute with a mala fide intention but have also indulged in gross abuses of the processes of law. The powers of the High Court or the courts for that matter are not limited to stop such abuse of the processes of law or to pass an order which will be further in the interest of justice. Two notable cases in this regard are M/s. Pepsi Foods Ltd. vs. Special Judicial Magistrate; AIR 1998 SC 128 and G. Sagar Suri vs. Special Judicial Magistrate; 2000 (2) SCC 363 in which the Apex Court has clearly laid down that the High Court will be well within its right to quash the criminal proceedings in exercise of its power under Section 482 Cr.P.C. to prevent the abuse of the processes of law.

22. I feel that all these parameters which have been laid down by the Apex Court in the judgments of M/s. Pepsi Foods Ltd. (supra) as well as in M/s. Indian Oil Corporation (supra) and V.Y. Jose's case (supra) are fully satisfied by the petitioners in the instant case, because the dispute between the complainant and the petitioners, who are forming parties of two groups of the joint venture are essentially having civil dispute because of the attempt of both the parties to control the Joint Venture Company and accordingly, the complaint as well as registration of the FIR deserves to be quashed. So far as the question of mala fides of the complainant in getting the FIR registered are concerned, no doubt the petitioners have made these allegations but I feel that the petitioners have not been able to produce any prima facie evidence in terms of the judgment of State of Bihar vs. P.P. Sharma, IAS & Anr; AIR 1991 SC 1260 to establish that the FIR is registered in a mala fide manner.

23. The third point, namely, whether the allegation made in the complaint and which are reproduced in the FIR, make out a criminal case against the petitioners prima facie or not? The complaint against the petitioners has been registered under Sections 381/403/406/408/417/419/420/427/500/120-B IPC. A perusal of the aforesaid sections would clearly show that the respondent/complainant has registered the complaint against the petitioners for offences of breach of trust, cheating, defamation and the criminal conspiracy.

24. I am proceeding hereunder to analyze as to whether the broad parameters/ingredients of these offences are satisfied or not.

25. Section 381, IPC defines „theft by clerk or servant of the property in possession of master“ and to make a case under this Section, the accused must be a clerk or servant and employed in such capacity by the person in whose possession the stolen property was. In the present case, the accused persons are the directors of the Joint Venture Company. Being the directors of a Joint Venture Company does not create a master servant relationship. Hence, prima facie the requirements of Section 381 are not satisfied. So far as the other employees are concerned, it can conveniently be said that these senior ranking officials of the Joint Venture Company have been employed only because they may have been owing allegiance to the petitioners' group. They cannot be said to be the Clerk or the servant in the sense in which the term is used.

26. Section 403, IPC defines „Dishonest misappropriation of property“ and to make a case under this section the essential ingredients are that the person is alleged to have misappropriated or converted to his own use any moveable property must have a dishonest intention. Another essential ingredient is that the property must belong to a person other than the accused. In the present case,

the petitioner company being a partner in the Joint Venture Company was the owner of the property. In *Ira Juneja*'s case (supra), it has already been held that in cases of partnerships unless and until it is specifically stated that the partnership deed as to who is in possession of the property in question, each of the partner cannot be prosecuted for the offence of breach of trust as there is no entrustment. Thus, even if the petitioner company or its nominees converts the property for their own use they would do so with full rights over the property. Hence the requirements of Section 403 IPC, in my view, prima facie are not met in this case.

27. Sections 405 and 406 IPC defines the offence of "Criminal Breach of Trust". It is a well settled principle that before a person can be said to have committed criminal breach of trust within the meaning of Section 405 of IPC, it must be established that the accused was either entrusted with the property or entrusted with the dominion over the property which he is said to have converted to his own use or disposed off in violation of direction of law, etc. Further the petitioners herein were the Directors of the Joint Venture Company on behalf of the Draeger Group, one of the groups forming the joint venture. If that be so, they could not be said to be entrusted with the property in question or it could not be said that they were given dominion over the property as being the Directors, that was a natural thing to flow from the discharge of their duties. Accordingly, the petitioners cannot be charged for the offence under Section 405 IPC. As it is settled in the reported judgment of *Ira Juneja* (supra) that in the case of Joint Venture or Partnership, every partner has the dominion over the property by the reason of the fact that he is a partner. In *Ira Juneja*'s case (supra) the following words are used:-

"The essential ingredients of the offence of criminal breach of trust are (1) entrustment with property or with any dominion over property and (2) dishonest misappropriation thereof. Partners of the firm do not hold property in trust for each other In order to establish „entrustment of dominion over property to an accused person the mere existence of that person's dominion over the property is not enough. It must be further shown that his dominion was the result of entrustment."

28. Similarly in *Velji Raghavji Patel*'s case (supra), the Hon'ble Supreme Court held as under :-

"(6).....Upon the plain reading of section 405 I.P.C., it is obvious that before a person can be said to have committed criminal breach of trust it must be established that he was either entrusted with or entrusted with dominion over property which he is said to have converted to his own use or disposed of in violation of any direction of law etc. Every partner has dominion over property by reason of the fact that he is a partner. This is a kind of dominion which every owner of property has over his property. But it is not dominion of this kind which satisfies the requirements of Section 405. In order to establish "entrustment of dominion"

over property to an accused person the mere existence of that person's dominion over property is not enough. It must be further shown that his dominion was the result of entrustment. Therefore, as rightly pointed out by *Harris C.J.*, the prosecution must establish that dominion over the assets or a

particular asset of the partnership was, by a special agreement between the parties, entrusted to the accused person."

29. Thus, no offence of breach of trust or theft can be made under Sections 405 or 408 or 381 IPC. The Supreme Court in Chandi Prasad Singh vs. The State of Uttar Pradesh; AIR 1956 SC 149 has held as under:-

"A servant is a person who acts under the direct control and supervision of another and who is bound to obey all reasonable orders given to him in the course of his work and duties. An „agent“ is a person who takes his instructions from another in the performance of his work and acts accordingly. He is not bound to obey the orders of the principal and is not subject to his control or supervision."

30. The Hon ble Supreme Court of India further held in Shivnarayan Laxminarayan Joshi & Ors. vs. State of Maharashtra, 1980 (2) SCC 465 as under :-

".....Director of a company is not only an agent but is in the position of a Trustee. Being so, he has dominion and control over the assets which come into his hands as a trustee."

Thus, the aforesaid analysis of the allegations cannot be said to be prima facie constituting the offence with which he was charged.

31. So far as Sections 417, 419 and 420 IPC are concerned, there must be dishonest intention at the inception of delivery or retention of property is the gist of the offence and in absence thereof there can be no offence of cheating. The Hon ble Supreme Court has held in Sukhdeo Jha Utpal vs. The State of Bihar; AIR 1957 SC 466 as under :-

"On charge of cheating, the fact that the accused made a false representation with the knowledge, that it was false and that he had a dishonest intention to induce the person deceived to part with his property, at the very time when he made a false representation, is an essential ingredient of the offence. On such a charge, the burden lies on the prosecution to prove affirmatively, not only that the accused has made a false representation, but also he made it with a dishonest intention, knowing that the representation he was making was false."

32. It was further held by the Hon ble Supreme Court of India in S.W. Palanitkar vs. State of Bihar; (2002) 1 SCC 241 as under:-

".....In order to constitute an offence of cheating, the intention to deceive should be in existence at the time when the inducement was made. it is necessary to show that a person had fraudulent or dishonest intention at the time of making the promise, to say that he committed an act of cheating. A mere failure to keep up promise subsequently cannot be presumed as an act leading to cheating."

33. In the present case, there is nothing on record to show that the petitioners knowingly made any false representation, much less dishonestly or fraudulently any representation. Therefore, one of the basic ingredients of Sections 415 or 420 IPC is not made out.

34. Further, a person cannot be charged with the offence of cheating and criminal breach of trust simultaneously for the same transaction because for the offence of cheating, it is a prerequisite that dishonest intention must exist at the inception of any transaction whereas in case of criminal breach of trust, there must exist a relationship between the parties whereby one party entrusts another with property as per law, therefore, for commission of criminal breach of trust, the dishonest intention comes later, i.e, after obtaining dominion over the property by the accused person whereas for commission of cheating, dishonest intention of the accused has to be present at the inception of the transaction.

35. So far as Section 120-B IPC is concerned, it is not applicable in the present case as the essential ingredients of this Section are (1) that there should be an agreement between the persons who are alleged to conspire; and (2) that the agreement should be : (i) for doing an illegal act, or (ii) for doing by illegal means an act which may not itself be illegal. There is nothing in the allegations which can be construed to show that there was a meeting of minds amongst the Directors, who were away from India, with the officials of the Joint Venture Company posted in India, to commit an offence.

36. Similarly, Section 500 IPC is not applicable in the present case as the essential ingredients of this section are (1) making or publishing any imputation concerning any person, (2) such imputation must have been made by words, by signs or by visible representations and (3) such imputation must have been made with the intention of harming the reputation of the person concerning whom it is made. In the present case, the complainants have failed to place any material on record to prove that the petitioners herein had by any means made or published anything with the intention or knowledge of harming the reputation of the complainants.

37. Thus, a superficial analysis of the averments made in the complaint or the FIR, in the light of the aforesaid sections, will clearly show that even if the allegations are considered on its face value and are assumed to be correct, even then no offences under various sections pertaining to theft, breach of trust, cheating, defamation or the criminal conspiracy is made out. Moreover, in the light of the facts of the case, if the Joint Venture Agreement was itself able to work out for some time, without any problem between the petitioners and the complainant that clearly shows that there was no dishonest intention at the time when the Joint Venture Agreement was entered into. Facts clearly reflect that there was no dishonest intention inasmuch as not only the Joint Venture Agreement was worked upon, but there were some differences which culminated into the filing of the civil litigation between the parties. This clearly shows that there was absence of dishonest intention on the part of the petitioners and accordingly, no criminal offence against the petitioners could be made out.

38. In the State of Haryana & Ors. vs. Ch. Bhajan Lal & Ors.; AIR 1992 SC 604, the Apex Court has laid down seven illustrative contingencies in which an FIR can be quashed. It has also been observed that in case a reading of the complaint or the FIR does not make out prima facie ingredients of the

offence, then the FIR is liable to be quashed. In the instant case, I have hereinabove dealt with the allegations to show that even if the allegations which are made in the complaint, are assumed to be correct and they are taken on its face value, they do not constitute a criminal offence under the various Sections for which an FIR has been registered and the complaint is liable to be quashed.

39. No doubt, in Bhajan Lal's case (supra), the Court has struck a note of caution and observed that the filing of the complaint or the FIR should not be done as a matter of course but, at the same time, the Apex Court has also taken note of the fact that in case a complaint or an FIR is lodged as an engine of oppression with the sole purpose of restraining a party from pursuing its remedy, which in the instant case would be the prevention of the petitioners in participating in the Management of the Joint Venture Company or by browbeating and terrorizing the petitioners of repeated criminal prosecution in case they land in India, then it beats all the parameters which have been enunciated and visualized in Bhajan Lal's case (supra). Similarly, it can be very conveniently said that registration of the FIR against the petitioner and two of its Directors is a gross abuse of the processes of law. In M/s. Pepsi Food Ltd. case (supra) and G. Sagar Suri's case (supra), the court has power to quash the proceedings.

40. Similarly, in another judgment titled CBI vs Duncans Agro Industries Ltd., Calcutta; AIR 1996 SC 2452, the Apex Court has observed as under:-

"After giving our careful consideration to the facts and circumstances of the case and the submissions made by the respective counsel for the parties, it appears to us that for the purpose of quashing the complaint, it is necessary to consider whether the allegations in the complaint prima facie make out an offence or not. It is not necessary to scrutinize the allegations are likely to be upheld in the trial. Any action by way of quashing the complaint is an action to be taken at the threshold before evidences are led in support of the complaint. For quashing the complaint by way of action at the threshold, it is, therefore, necessary to consider whether on the face of the allegations, a criminal offence is constituted or not."

41. In the instant case, the learned Magistrate, in its impugned order, has observed that this is a matter which cannot be investigated by the complainant and, therefore, it directed the registration of the FIR against the petitioners. I find this reasoning of the learned Magistrate totally illogical and without any basis. The entire thrust of the complaint was that there was a Joint Venture Company floated in which there were certain foreign Directors of one of the participating Joint Venture Companies. Apart from that, there were some of the employees of the Joint Venture Company itself who had conspired together to pilfer, steal, or cheat with regard to various designs and patents etc. which were developed by the Joint Venture Company. All these facts were specially within the knowledge of the complainant and it did not require any expertise to establish that such an offence had been committed by the petitioners or its other co-conspirators. Therefore, it was essential for the complainant to have adduced the evidence before the learned Trial Court rather than a direction being obtained by it against the petitioners for registration of an FIR. The reason to find out as to why the FIR was got registered against the petitioners is not far to see. Once the FIR has been registered, obviously the petitioners were avoiding their landing in India, inasmuch as they would

have got arrested on the landing itself within the shores of the country. In addition to this, the other employees and the office-bearers of the Joint Venture Company, who are alleged to have committed the offence, have also to run in order to insulate their liberty and, therefore, this would have served very well the purpose of the complainant in suing the petitioners and all other persons siding with at the negotiation table to settle the disputes. I, therefore, feel that this was a gross abuse of the process of law by the complainant by converting not only the civil dispute into criminal dispute with a view to bring to bear pressure on the petitioners to succumb to their dictates, but also the fact that they had indulged in concealment of material facts of having filed a similar complaint earlier before the District Court, Karkardooma, Delhi, where a similar prayer for registration of an FIR was made, which was turned down. Mr. Gandhi, the learned senior counsel for the petitioners has few other grounds also including the competence of the person, who initiated the complaint for the purpose of quashing the same, however, I do not consider it to be necessary to deal with the same.

42. For the aforementioned reasons, I am of the considered opinion that the invocation of Section 156 (3) Cr.P.C. by the complainant /respondent in the instant case was a gross abuse of the processes of law. As a matter of fact, the very filing of the complaint and the consequent registration of the FIR against the petitioners was a gross abuse of the processes of law, inasmuch as a civil dispute was sought to be converted into a criminal dispute. I, accordingly, in exercise of the powers under Section 482 Cr.P.C., quash the Complaint No.507/2001 titled A.S. Rajput vs. Wolfgang Reim as well as the FIR No.411/2004 and the consequent proceedings.

43. Parties to bear their respective costs.

V.K. SHALI, J.

JULY 02, 2012 'AA'/tp